STHIROS | D2C & RETAIL | INDIA-LED, GLOBALLY INFORMED

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Strategy. Risk. Cyber. AI.

STHIROS INDUSTRY INSIGHT

## D2C & RETAIL

# FROM SHELF SPACE TO DECISION SPACE

Retail enters the decision economy

# INDIA-LED. GLOBALLY INFORMED. | 2026–2028 OUTLOOK

## THE THESIS

The next era of retail will not be won by whoever owns the store, the website or the marketplace listing. It will be won by whoever can orchestrate the consumer decision loop - discovery, identity, recommendation, availability, fulfilment and trust - without losing economic discipline or customer confidence.

**SEPTEMBER 2026 | FOR CIRCULATION**

**EXECUTIVE INTELLIGENCE**

## RETAIL IS GROWING. THAT IS NOT THE STORY.

The story is that the mechanisms through which demand is discovered, influenced, fulfilled and trusted are being rebuilt at the same time.

### US$1.93T [1]

**India retail by 2030**

Up from US$1.065T in 2024. Online retail is projected to rise from US$75B to US$260B, taking share from 7% to 14%.

### US$60B [2]

**Potential D2C e-commerce channel sales by 2030**

Versus US$10–12B in e-commerce sales today in McKinsey's definition; marketplaces remain important for scale and discovery.

### US$50B [3]

**Projected quick-commerce market by 2030**

Google–Deloitte estimate; non-food categories are projected to account for 45% of spend by 2030.

### US$1T+ [4]

**Creator-influenced consumption by 2030**

BCG estimates 2–2.5 million monetised creators already influence US$350–400B of Indian consumer spending.

### 45% [3]

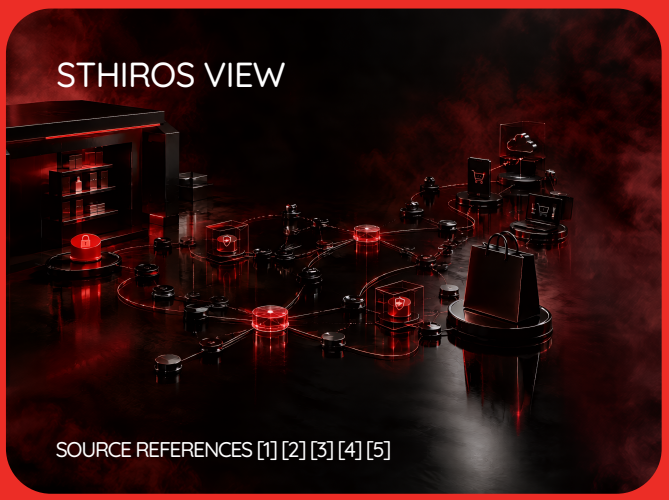
**Shoppers open to delegated AI buying**

In the Google–Kantar consumer research cited in the 2026 Commerce Frontier, 45% would let AI purchase if notified before final payment.

### 84% [5]

**UPI share of India digital payments**

UPI accounted for 84% of India's digital-payment volume in FY2025–26 - a frictionless base for high-frequency commerce.




**THE SHIFT IN ONE LINE**

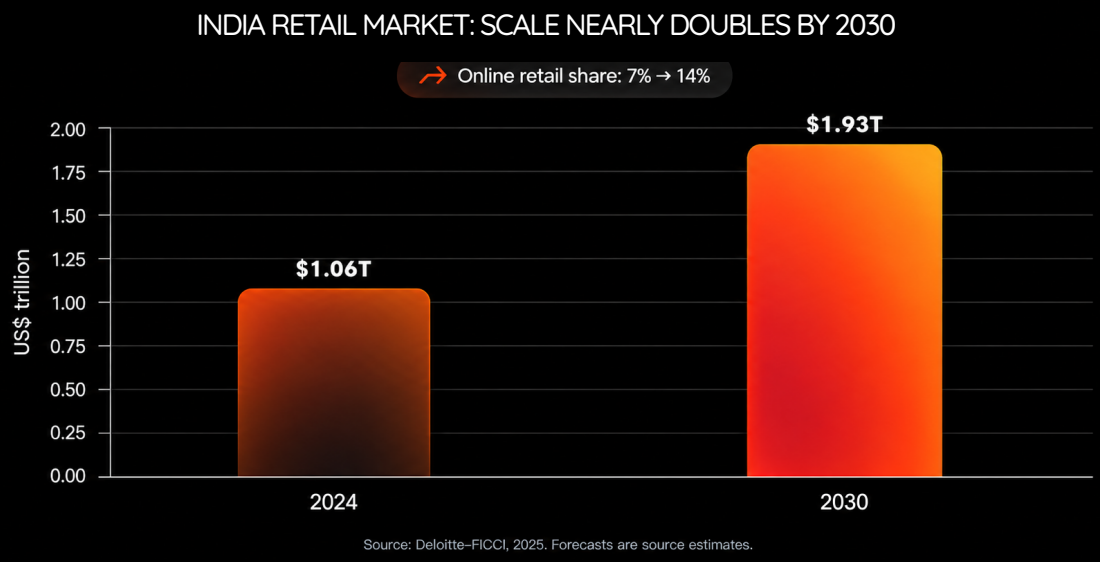
## CHANNEL ADVANTAGE IS GIVING WAY TO DECISION-LOOP ADVANTAGE.

Winning retailers and D2C brands will not need to own every touchpoint. They will need to know which control points must remain proprietary, which can be platform-enabled, and which require explicit governance.

## INDIA'S NEXT CONSUMPTION CYCLE

# GROWTH IS BROADENING FROM ACCESS TO ORCHESTRATION.

India's retail opportunity is large, but the more important change is the simultaneous deepening of demand, digital infrastructure, geography and convenience.




Source: Deloitte–FICCI, 2025. Forecasts are source estimates.

**1**

### SCALE

A deep domestic market creates room for national platforms, regional brands and category specialists to grow simultaneously.

**2**

### DIGITAL DEPTH

Online share expands without eliminating physical retail. The winning model is increasingly channel-agnostic, not online-only.

**3**

### GEOGRAPHIC BROADENING

Tier II and III cities already account for more than 60% of e-commerce transactions in Deloitte–FICCI's 2025 analysis.

**4**

### PAYMENT & FULFILMENT RAILS

UPI, dense logistics and hyperlocal networks reduce transaction friction and compress fulfilment expectations.

### WHAT THE MARKET NUMBERS DO NOT MEAN

- Online growth is not a simple substitution for stores; physical retail remains a discovery, service, inventory and trust layer.
- Tier II/III expansion does not imply uniform demand: language, assortment, ticket size and delivery economics remain hyper-local.
- Premiumisation is not "premium everything": value-seeking and transparency can coexist with willingness to pay more for relevance, quality and convenience.

India's next retail cycle is not a single-channel growth story. It is a coordination challenge: convert a larger, more digital and more heterogeneous consumer base into profitable, trusted, cross-channel demand.

## THE CENTRAL ARGUMENT

# FROM CHANNEL ADVANTAGE TO CONTROL ADVANTAGE.

A consumer can discover on social, validate through AI, buy on quick commerce, pay through UPI and seek service directly from the brand. “Channel” no longer tells us who owns the relationship.

### THE STHIROS COMMERCE CONTROL STACK

| ATTENTION | IDENTITY | DECISION | AVAILABILITY | TRUST |
|---|---|---|---|---|
| Who gets considered? | Who knows the customer? | Who shapes the choice? | Who can satisfy demand now? | Who earns the transaction? |
| **Discovery architecture** | **Permissioned insight** | **Decision rights** | **Orchestrated inventory** | **Operating trust** |

Strategy question: what must we own, what may we influence, and what must we explicitly govern?

### WHY THIS CHANGES STRATEGY

- Owning the transaction is no longer the same as owning the customer relationship.
- Brands can outsource fulfilment or discovery, but outsourcing identity, insight and decision visibility can create strategic dependency.
- Retailers are becoming media, data and fulfilment businesses; platforms are becoming discovery and decision infrastructure.

The strategic unit of competition is shifting from the channel to the control point. Leadership should explicitly decide where control creates differentiation - and where ecosystem participation creates more value than ownership.

SOURCE REFERENCES [4] [7] [14]

**D2C 2.0**

# DIRECT IS NO LONGER A CHANNEL.

The first D2C wave proved that brands could acquire customers, learn faster and build categories digitally. The next test is whether "direct" can survive scale economics.

**US$10-12B**
D2C e-commerce channel sales today

**~3x faster D2C adoption than marketplace growth***

**US$60B**
Potential D2C e-commerce channel sales by 2030

*Among MSMEs in McKinsey analysis. Source [2], February 2026.

## THE D2C PARADOX: STRONG DISCOVERY, HARDER SCALE

| ADVANTAGE | WHAT D2C PROVED | WHAT SCALE REQUIRES |
|---|---|---|
| **Speed** | Rapid launches, cohort feedback, niche positioning | Repeatable demand planning, quality discipline and operational cadence |
| **Customer data** | Direct behavioural signals and rapid testing | Consented identity resolution across marketplaces, stores and platforms |
| **Brand building** | Creator/social-led discovery and premium positioning | Lower CAC dependence, retention, trust and broader distribution |
| **Economics** | Attractive gross-margin potential in select categories | Contribution margin after media, returns, fulfilment and channel costs |

**~40%** [6]
### D2C revenue CAGR, FY21–FY24
CRISIL's sample grew rapidly from a low base, versus ~9% for established FMCG players.

**<15%** [6]
### Crossed ₹250 crore before acquisition
Only about one-third of sampled D2C companies were operating-profit positive before acquisition.

**~2/3** [6]
### FMCG acquisitions were D2C
Across the previous five fiscals in CRISIL's sample - a signal that incumbents value innovation, premiumisation and consumer insight.

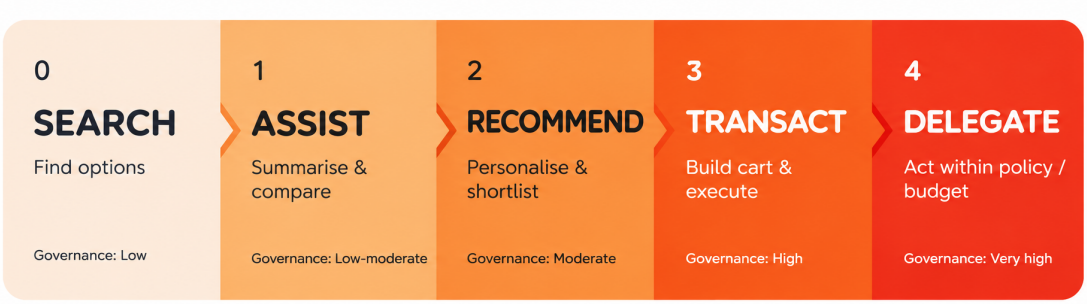
D2C 2.0 is "direct-to-relationship," not "website-only." The strategic asset is persistent, permissioned customer understanding - even when the transaction happens through a marketplace, store or quick-commerce platform.

SOURCE REFERENCES [2] [6]

## AI ENTERS THE BUYING DECISION

# THE DIGITAL SHELF IS BECOMING AN INVISIBLE SHELF.

AI is moving from helping shoppers search to interpreting intent, comparing options, assembling baskets and - under bounded authority - transacting.




As AI gains transaction authority, identity, consent, liability, auditability and exception handling move into the commercial core.

## GLOBAL DEVELOPMENT RADAR

### WALMART + GEMINI

Walmart and Google announced a Gemini commerce experience using the Universal Commerce Protocol, connecting AI discovery with Walmart and Sam's Club inventory.

### PAYMENT TRUST LAYER

Visa, Mastercard and Ant International announced work on common standards to identify and verify purchasing AI agents.

### INDIA: AGENTIC PAYMENTS

Reuters reported on 10 Sep 2026 that NPCI is developing an AI-agent registry for UPI-linked agentic payments - signalling that authentication and liability are moving to the foreground.

### CUSTOMER READINESS

45% of surveyed Indian shoppers were comfortable letting AI purchase on their behalf if they were notified before the final purchase.

## WHAT BECOMES STRATEGIC NOW

- Product data becomes "AI packaging": structured attributes, provenance, inventory, reviews and policies determine whether agents can understand and recommend a product.
- Brand discoverability expands beyond SEO into machine-readable product truth and agent-facing commerce standards.
- AI decision rights need a commercial governance model: what may be recommended, negotiated, purchased or refunded - and when a human must intervene.

Agentic commerce creates a new intermediary: the decision agent. The brand challenge is not to resist that layer, but to remain legible, preferred and trusted within it while preserving consent, economics and accountability.

SOURCE REFERENCES [3] [7] [8] [9] [10]

## FULFILMENT BECOMES DEMAND

# THE STORE, DARK STORE AND SCREEN CONVERGE.

Convenience is no longer a final-mile feature. As delivery windows compress, fulfilment starts shaping what consumers consider, how much inventory they keep at home and which brands enter the basket.

**US$50B**
Quick-commerce market by 2030

**45%**
Projected spend from non-food categories

**30%**
Projected market from Tier 2+ cities

Source: Google-Deloitte, The $250 Billion Commerce Frontier, Apr 2026.

## THE OPERATING MODEL IS SHIFTING

### STORE AS EXPERIENCE + INVENTORY NODE

Physical networks can support service, trust, returns and hyperlocal fulfilment - if inventory is visible and promise accuracy is high.

### DARK STORE AS DENSITY ENGINE

Speed economics depend on order density, micro-market assortment, picking productivity and last-mile batching - not speed alone.

### SCREEN AS MERCHANDISING LAYER

Rank, availability, sponsored placement and delivery promise increasingly determine digital shelf visibility.

### NETWORK AS ORCHESTRATOR

Retailers and platforms can combine own inventory, partner inventory and local stores to widen assortment without owning every node.

## THE UNIT-ECONOMICS TEST

| ORDER DENSITY | BASKET VALUE | PICK PRODUCTIVITY | INVENTORY TURNS | MEDIA / ADS |
|---|---|---|---|---|
| Can demand support the node? | Does mix fund fulfilment? | Can operations scale without labour drag? | Does local assortment move fast enough? | Can monetisation offset thin retail margins? |

The competitive edge is shifting from “fast delivery” to “profitable availability.” The retailer that can place the right inventory close to demand - and monetise the digital shelf around it - can turn fulfilment infrastructure into a demand engine.

SOURCE REFERENCES [1] [3]

### THE GOVERNANCE QUESTION

## TRUST BECOMES PART OF THE PRODUCT.

As commerce becomes more personalised, automated and frictionless, the risk is not only misuse of data. It is loss of customer agency - through opaque decisions, deceptive design, weak product truth or ungoverned automation.

| | |
|---|---|
| **DATA & CONSENT** | Can the organisation explain what data is used, for what purpose, and how customer choices travel across channels? |
| **CHOICE ARCHITECTURE** | Are urgency, subscriptions, pricing and defaults designed to help a decision - or manipulate it? |
| **PRODUCT TRUTH** | Are attributes, claims, reviews, ingredients and provenance accurate enough for both humans and AI agents? |
| **AI DECISIONING** | Can management explain why an offer, recommendation, price or automated action occurred - and override it? |
| **FULFILMENT & REMEDY** | Do returns, refunds, complaints and breach response preserve trust when the promise fails? |

## INDIA'S TRUST CLOCK IS NOW VISIBLE

**13 May 2027** [11]

### Core DPDP obligations commence

Rules covering notice, consent operations, safeguards, breach response and other core obligations sit in the 18-month commencement tranche from the 13 Nov 2025 Gazette notification.

**1 Jan 2027** [12]

### Amended E-Commerce Rules take effect

The 2026 amendments address misleading search, sponsored listings, prior-price disclosure, annual dark-pattern self-audits, express consent and seller / product information.

**29%** [12]

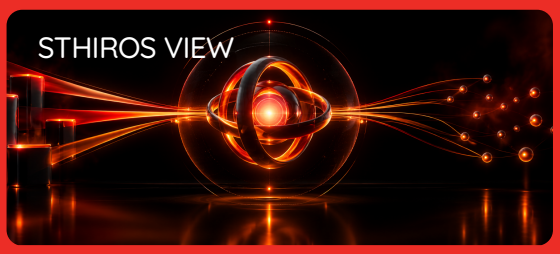
### NCH grievances linked to e-commerce in 2025

The National Consumer Helpline received 17,71,622 grievances in 2025; 5,11,196 related to e-commerce - a material signal that trust is an operating issue, not only a policy issue.

REGULATORY DIRECTION Guidance is becoming enforceable commerce design: CCPA actions in 2026 have already targeted pre-ticked consent, confirm shaming and interface interference on digital platforms. [16]

## GOVERNANCE IMPLICATION

- Do not bolt compliance onto the checkout. Encode privacy, customer choice, claims governance and AI decision rights into product and growth workflows.
- Treat "trust debt" like technical debt: shortcuts in consent, dark patterns, review integrity or model controls may improve conversion today but raise future remediation and reputation cost.




SOURCE REFERENCES [11] [12] [16]

In intelligent commerce, trust is operating infrastructure. The organisations that can prove customer agency - not merely promise it - will have more freedom to personalise, automate and delegate decisions at scale.

## CYBER & RESILIENCE

# AUTONOMY CHANGES THE ATTACK SURFACE.

Retail cyber risk is no longer concentrated at the checkout or corporate perimeter. It now spans identity, APIs, loyalty, suppliers, cloud platforms, AI models, fulfilment and the emerging agent-to-payment chain.

**997** [13]

### Retail incidents analysed

Verizon's 2026 Retail DBIR snapshot recorded 997 incidents, including 806 with confirmed data disclosure.

**806** [13]

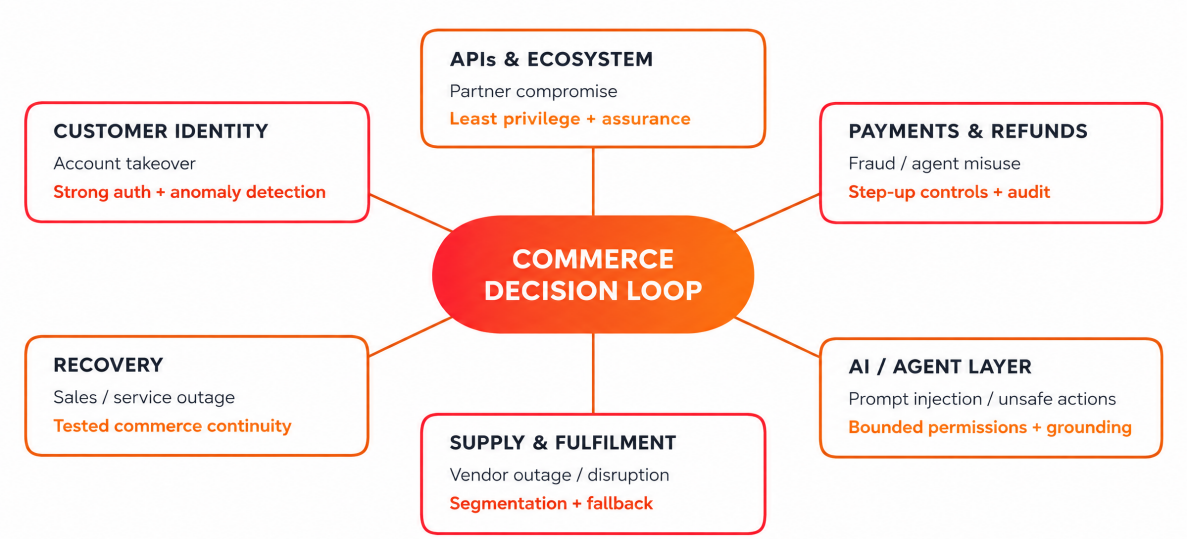
### Confirmed data disclosures

The number of confirmed retail breaches nearly doubled; system intrusion, basic web application attacks and social engineering represented 95% of breaches.

**68%** [13]

### Third-party involvement

Third parties were involved in 68% of retail breaches. External actors accounted for 99%, while internal corporate data was compromised in 84%.




### RESILIENCE TEST

- Can the business continue taking orders, serving customers and honouring refunds if a critical SaaS, marketplace, payment or fulfilment partner fails?
- Can the organisation revoke an AI agent, partner token or compromised identity without shutting down the broader commerce journey?

Cyber resilience should be measured in commercial outcomes: lost orders, unavailable inventory, failed payments, delayed refunds and damaged trust. Protecting systems is necessary; preserving the decision loop is the business objective.

SOURCE REFERENCES [13]

## 2026–2028: SIGNALS TO WATCH

# WATCH THE SIGNALS - NOT THE HEADLINES.

The purpose of a forward view is not to guess the future. It is to identify observable indicators that tell leadership when the economics, control points or risk profile are actually changing.

| # | SIGNAL | WHAT TO WATCH | WHAT IT WOULD MEAN |
|---|---|---|---|
| 01 | AI-ORIGINATED DEMAND | Track referral traffic, conversion and average order value from AI assistants; monitor whether product discovery shifts from search terms to natural-language intent. | If sustained: product information architecture and machine-readable brand truth become a growth capability. |
| 02 | DELEGATED TRANSACTIONS | Watch adoption of agent identity, payment protocols, merchant controls and bounded authority models across major platforms and payment rails. | If sustained: liability, authentication and transaction-policy design become board-level commerce architecture. |
| 03 | QUICK-COMMERCE MIX SHIFT | Track non-food share, Tier 2+ contribution, basket expansion and retailer-platform inventory integrations. | If sustained: quick commerce evolves from convenience channel into a general retail operating layer. |
| 04 | D2C ECONOMICS CONVERGE | Watch retention, repeat purchase, contribution margin after fulfilment/media, offline expansion and strategic acquisitions. | If sustained: "D2C" becomes an operating model for insight and innovation, not a stand-alone route to market. |
| 05 | COMMERCE MEDIA MATURES | Track retailer ad revenue, off-site media, closed-loop measurement and the share of growth funded by advertising rather than retail margin. | If sustained: attention and transaction economics converge; retailers increasingly compete for media budgets. |
| 06 | TRUST BECOMES MEASURABLE | Track DPDP implementation, dark-pattern enforcement, consent quality, AI-governance incidents, review authenticity and customer opt-out behaviour. | If sustained: trust metrics become leading indicators of growth capacity, not just compliance metrics. |

### GLOBAL CONTEXT THAT MAKES THESE SIGNALS CREDIBLE

- Global retail media is forecast by dentsu to grow 12.3% in 2026, while algorithm-enabled advertising is projected to reach 75% of ad spend by 2028.
- Walmart, Google and payment networks are building agentic-commerce and agent-identity rails; India is simultaneously deepening UPI and open-commerce infrastructure.
- ONDC's public retail dashboard showed more than 83 million retail orders placed on the network when accessed in September 2026 - evidence that commerce can increasingly be orchestrated across interoperable participants.

A signal is useful only if it changes a decision. Leadership should pre-agree the conditions under which each signal triggers capital reallocation, operating-model change, control redesign or a strategic experiment.

SOURCE REFERENCES [7] [9] [10] [14] [15]

## LEADERSHIP PREPAREDNESS DIAGNOSTIC

# CAN YOUR OPERATING MODEL SURVIVE THE DECISION ECONOMY?

Score each statement from 1 to 5. The purpose is not maturity theatre; it is to expose where growth ambitions depend on control capabilities that do not yet exist.

| DOMAIN | STATEMENT | 1–5 |
|---|---|---|
| STRATEGY | We have explicitly defined which commerce control points – attention, identity, decision, availability and trust – we intend to own, influence or outsource. | — |
| ECONOMICS | We measure channel contribution margin after media, fulfilment, returns, discounts and platform costs – not only GMV, revenue or gross margin. | — |
| CUSTOMER IDENTITY | We can reconcile customer identity and consent across owned channels without assuming that marketplace or platform transactions are "ours". | — |
| AI READINESS | Our catalogue, product attributes, policies, inventory and claims are sufficiently structured and governed for AI-driven discovery and recommendation. | — |
| AI GOVERNANCE | We have documented decision rights for AI: what may be recommended, priced, purchased, refunded or escalated – and who remains accountable. | — |
| CONSUMER TRUST | We test growth journeys for deceptive patterns, unsupported claims, consent quality, review integrity and explainability – before launch, not after complaint. | — |
| ECOSYSTEM RISK | Critical marketplaces, SaaS, logistics, payment, cloud and data partners are mapped to business services and monitored for concentration and control risk. | — |
| CYBER / AGENT TRUST | We can authenticate customers, partners, APIs and emerging AI agents; constrain permissions; and revoke access without breaking the full journey. | — |
| FULFILMENT RESILIENCE | We know our maximum tolerable disruption for order capture, inventory visibility, delivery, refunds and service – and have tested alternatives. | — |
| BOARD INTELLIGENCE | Leadership receives a small set of joined-up growth, trust, AI and resilience metrics that reveal trade-offs rather than separate functional dashboards. | — |

## SCORING

**10–20 — EXPOSED**
Growth ambition is running ahead of controls.

**21–30 — EMERGING**
Foundations exist but remain fragmented.

**31–40 — INTEGRATED**
Growth and control are designed together.

**41–50 — ADAPTIVE**
Signals, decisions and controls learn together.

Scoring anchor: 1 = ad hoc / unknown; 3 = defined and repeatable; 5 = measured, integrated and adaptive. This is a leadership diagnostic, not an assurance opinion.

**LEADERSHIP AGENDA**

# FIVE DECISIONS FOR LEADERSHIP.

The decision economy rewards speed - but only when speed is paired with intentional control. These are the choices that should be made before the market makes them for you.

01

### DECIDE WHAT YOU MUST OWN

Which control points are strategic assets - customer identity, product truth, decision logic, inventory visibility, trust - and where is platform dependence acceptable?

02

### DECIDE WHAT "DIRECT" MEANS

Is D2C a sales channel, a learning engine, a premium innovation model, a loyalty layer, or all four? Align economics and operating design to the answer.

03

### DECIDE HOW FAR AI MAY ACT

Define bounded autonomy now: what AI may recommend, negotiate, purchase, refund or escalate; what data it may use; and who remains accountable.

04

### DECIDE THE SPEED–RESILIENCE TRADE-OFF

Where does instant availability create real willingness to pay or retention - and where does it simply add cost, concentration or operational fragility?

05

### DECIDE HOW TRUST WILL BE MEASURED

Move beyond compliance completion. Track consent quality, complaints, returns, review integrity, security, explainability and customer recovery as growth indicators.

The winning retail enterprise will be neither purely physical nor purely digital, neither fully direct nor fully intermediated, neither human-led nor machine-led. It will be intentionally orchestrated - around the customer decision loop, with economics and trust designed in from the start.

## METHODOLOGY & SOURCE DISCIPLINE

India-led, globally informed secondary research. Public data and forecasts were cross-checked for definition, date and scope; forecasts remain the estimates of the cited publishers. STHIROS frameworks and interpretations are analytical and proprietary, not source forecasts. Scope: consumer retail and the D2C, omnichannel and digitally mediated commerce operating model in India; global developments are used selectively as forward signals, not as a category-by-category census of Indian retail. Data cut-off: 16 September 2026.


[1] Deloitte–FICCI (2025), Spotting India's PRIME innovation moment

[2] McKinsey (2026), The great unbundling of Indian e-commerce

[3] Google–Deloitte (2026), The $250 Billion Commerce Frontier

[4] BCG (2025), From Content to Commerce: India's Creator Economy

[5] PIB / NPCI (2026), UPI at 10 years

[6] CRISIL Ratings (2025), FMCG companies on a D2C buyout spree

[7] Google (2026), Universal Commerce Protocol and agentic retail

[8] Walmart + Google (2026), Gemini shopping experience

[9] Reuters (10 Sep 2026), India plans AI-agent registry for UPI

[10] Reuters (10 Sep 2026), AI-agent payment trust framework

[11] MeitY (2025), Digital Personal Data Protection Rules, 2025

[12] PIB / DoCA (10 Sep 2026), Consumer Protection (E-Commerce) Amendment Rules, 2026

[13] Verizon (2026), Data Breach Investigations Report – Retail Snapshot

[14] Dentsu (2026), Global Ad Spend Forecasts – May update

[15] ONDC Open Data, Retail dashboard (accessed Sep 2026)

[16] PIB / CCPA (2026), Dark-pattern enforcement actions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